BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Clean Energy Transition

Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
CLEAN ENERGY TRANSITION PANEL REBUTTAL TESTIMOY

Q. Please state your names.

A. Our names are Vicki Kuo, Mary Kelly, Venetia Lannon, Steven Parisi, Patrick McHugh, Christopher Raup, Christina Ho and LaAsia Hundley.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. We previously submitted direct testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company") as the Clean Energy Transition Panel ("Panel").

Q. What is the purpose of the Panel's rebuttal testimony?

A. We are responding to the direct testimony of the following parties:

- Staff Climate Leadership and Community Protection Act Panel ("SCLCPAP") regarding disadvantaged communities;
- Staff Gas Reliability and Supply Panel ("SGRSP") regarding development of a multivariable optimization process;
- New York City ("NYC") Policy Panel regarding disadvantaged communities;
- NYC Witness John P. Sano regarding non-pipeline alternatives ("NPAs");

- Westchester County Witness Elijah Reichlin-Melnick regarding disadvantaged communities;
- Natural Resources Defense Council ("NRDC") Witness Alice Napoleon regarding NPAs and greenhouse gas ("GHG") emissions data;
- Environmental Defense Fund ("EDF") Witness David Lyon regarding greenhouse GHG emissions data; and
- New York Energy Consumers Council ("NYECC") Witness Andy Anderson regarding CLCPA projects.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

REBUTTAL

Multivariable Optimization Tool

Q. Please describe Staff's recommendation related to the Company's proposal to recover costs associated with developing a multivariable optimization process in accordance with the Commission's September 20, 2024, order in Case 23-G-0147.

A. SGRSP agrees that it is appropriate to defer these costs. However, Staff recommends (pp. 131-132) that the Commission reject the Company's $10 million estimate for this project.

Q. What is the basis for Staff's recommendation?

A. SGRSP contends that authorizing the use of $10 million for the project without any proper estimation process outside of an interdisciplinary order of magnitude evaluation is not a sensible approach. Although Staff recognizes that a deferral mechanism is necessary to complete the requirements set forth by the Gas Planning Order, Staff claims that approval of such a high deferral amount should not be considered without a competitive solicitation.

Q. Has Staff accurately described the Company's proposal?

A. No. The Company did not propose a cap of $10 million for work connected with the multivariable optimization process, which involves more than a dozen new analyses. The Company is not aware of any organization that has conducted a multivariable optimization process as envisioned by the Commission and that there should not be a cap on the costs it will incur to comply. The Company will make every effort to control the cost of its efforts and will work with stakeholders to finalize a reasonable scope of work.

Q. Is the Company willing to engage in a competitive solicitation(s) for outside services?

A. Yes. The Company expects to conduct a competitive solicitation(s) this calendar year to retain outside expertise and services necessary to carry out the multivariable optimization process. However, it may be necessary to purchase some services through sole source arrangements, such as the acquisition of data related to building characteristics in the Company's service territory.

Non-pipeline Alternatives

Q. Please describe any proposals made relating to the Company's NPA program.

A. NRDC Witness Napoleon and NYC Witness Sano discuss the Company's NPA program.

NRDC Witness Napoleon offers a list of proposals related to the Company's NPA program, which include the following:

- Con Edison should develop a geospatial NPA tool (p. 48);
- Con Edison should eliminate all eligibility requirements for the Energy Exchange program and

expand program offerings to all customers who require a service replacement for leaking services or services associated with main replacement (pp. 48-49);

- Regarding the Electric Advantage program, Con Edison should expand its program offerings to more main replacement projects (p. 49);
- Con Edison should be required to report more metrics pertaining to its progress with NPAs (p. 50); and
- The Commission should require Con Edison to disclose more information about the benefit-cost analysis calculations for each NPA project (p. 51).

Similarly, NYC Witness Sano offers the following NPA-related proposals:

- The Company should be directed to pursue NPAs such as targeted load reductions via electrification, energy efficiency, or other customer-sided measures throughout its service territory (p. 20);
- The Company should be directed to investigate the use of NPAs over long-term horizons and present proposals through this proceeding or the Gas Planning Proceeding (p. 30); and

- The Company should examine the successes other utilities have had in implementing NPAs in order to avoid traditional gas infrastructure (pp. 28-29).

Q. Is this rate proceeding the appropriate forum for considering the NRDC or NYC proposals related to NPAs?

A. No. There are two other ongoing Commission proceedings where these proposals are more appropriately considered. The Commission's Statewide Gas Planning Proceeding (Case 20-G-0131) was established to consider generic planning issues applicable to gas utilities across the state. Case 23-G-0147 was established to consider long-term gas planning issues specific to Con Edison and Orange and Rockland Utilities, Inc ("O&R"). NRDC's and NYC's NPA proposals are outside the scope of this rate proceeding and should be considered in either Case 20-G-0131 or 23-G-0147.

Q. Does the Company agree with these proposals?

A. The Company does not agree with all of NYC and NRDC's proposals, as the Company's current NPA efforts address the goals described in many of the proposals. While the Company appreciates NYC and NRDC's recognition of the importance of NPAs and agrees that NPA efforts should be increased, additional resources are needed to expand the Company's

program offerings; details about how Con Edison plans to expand its NPA efforts in alignment with NYC and NRDC's comments can be found in the Company's Customer Energy Solutions Panel rebuttal testimony (p. 9). Information about how Con Edison's current NPA efforts already align with many of NYC and NRDC's proposals is discussed below:

- Con Edison has developed and currently uses a suite of geospatial and data analysis tools to identify NPA opportunities.
- The Company's Energy Exchange program eligibility currently is limited to services installed before 1972. The initial number of eligible customers was assessed to be larger than what the current number of Company employees dedicated to this program and the initial set of participating contractors would be able to manage to effectively drive enrollment and participation. While committed to NPA programs, Con Edison is balancing programmatic size and reach with available resources, including staffing and participating contractor capacity necessary to handle eligible customers and drive program participation in

the Energy Exchange program. To enhance program offerings by expanding eligibility, identifying additional opportunities, and/or increasing the program's network of participating contractors, for example, incremental resources including employees will be needed.

- The Company is working towards expanding its Electric Advantage program to increase the number of main replacement projects by (1) analyzing leak-prone radials on its distribution system, (2) exploring the suitability of non-radial small-diameter gas main replacements, and (3) considering other capital programs besides the Gas Infrastructure Reduction and Replacement Program ("GIRRP") for replacing non-leak prone mains. If the Electric Advantage program's eligibility were to expand, however, incremental employees would be necessary to support the enhanced stakeholder outreach and promotion needed to reach this larger pool of eligible customers.
- The Company disagrees that more NPA reporting metrics are necessary. All the information NRDC proposes be

made available can be found in existing regulatory filings and proceedings, including NPA Implementation Plans, NPA Annual Reports, NPA Benefit Cost Analyses, and the NPA Deployment Plan filed in the Gas Long Term Plan Proceeding.

- The Company discloses information regarding the benefit-cost analysis for NPA projects in (1) its annual Implementation Plan, (2) the NPA Benefit Cost Analyses filed in past rate case proceedings, (3) the Avoided Cost of Gas Working Group filings in the Gas Planning Proceeding (Case 20-G-0131), and (4) the Electric system Benefit Cost Analysis handbook filed in case 16-M-0411.
- The Company's Area Load Relief NPA program has processes set up to pursue NPAs that can be achieved through targeted load reductions.
- The Company is investigating and presenting the use of NPAs over the long-term horizon through the Gas Planning Proceeding (Case 20-G-0131) and Gas Long Term Plan Proceedings (Case 23-G-0147).

- The Company has used benchmarking to incorporate best practices and lessons learned into its existing NPA programs. For example, the Lansing NPA portfolio at NYSEG informed the development of the Company's Area Load Relief NPA program.

Disadvantaged Communities

Q. Please describe Staff's recommendations related to disadvantaged communities.

A. SCLCPAP recommends (p. 43): (1) that the Company supplement the record in this proceeding clarifying outreach efforts completed for certain projects undertaken in disadvantaged communities; and (2) that the Commission require Company whitepapers in future rate filings to include project-specific outreach information, the location of each project and any adverse impacts on disadvantaged communities.

Q. What is the basis for Staff's recommendations?

A. Staff claims that the Company's outreach efforts to engage with disadvantaged communities during the project planning phases require improvement. Staff emphasizes the need for the Company to have a more robust and continuous outreach to external stakeholders on key capital projects and programs.

Q. Does the Company agree with Staff's recommendations?

A. We do in part. To improve outreach and engagement efforts, the Company is developing a Disadvantaged Communities Program. The Company's Disadvantaged Communities program provides an important mechanism to: (1) align the Company's process for capital projects and programs with PSC requirements and feedback from DPS Staff and other external stakeholders, including community organizations, early and throughout the development of Company processes; and (2) incorporate Environmental Justice ("EJ") considerations into the Company's planning process for capital projects and programs through organizational education and training, a more structured stakeholder engagement process and tracking/reporting outcomes against the CLCPA's DAC goals. The Disadvantaged Communities Program will include a newly created EJ Stakeholder's Advisory Board/Panel. The panel will be comprised of Company representatives, environmental justice and public health advocates, community-based organizations representing highly impacted communities, vulnerable populations, and other interested external parties. This will serve as a vital platform for sharing research, policy proposals, and new ideas, in addition to

receiving and tracking feedback on ongoing and proposed capital projects and programs.

Q. Please describe any other claims made relating to Disadvantaged Communities.

A. The NYC Policy Panel claims (p. 23) that Disadvantaged Communities appear be experiencing more system reliability problems than other communities in some areas within the Company's service territory. Based on this claim, NYC contends that the Company should pay more attention to service quality issues in these communities and the networks which serve them. NYC Policy Panel also claims (p. 27) that customers in Disadvantaged Communities appear to be experiencing more service terminations than customers in other areas of the Company's service territory. Based on this claim, NYC contends that the Company needs to provide more attention to those neighborhoods with respect to its outreach and education efforts, and to providing assistance to such customers.

Similarly, Westchester County Witness Reichlin-Melnick claims (p. 12) that certain communities within the county will be particularly impacted by the Company's proposed rate plan.

Lastly, the NYC Policy Panel claims (pp. 41-52) that the Company's Affordable Multifamily Electrification Pilot is the only step it has taken to address energy insecurity.

Q. Does the Company agree with these claims?

A. No, we do not. In the Company's recent 2024 Disadvantaged Communities Report (filed in May 2025 in Cases 22-E-0064 & 22-G-0065), our findings are that 34% of customers who experienced an outage live in DACs, compared to 38% in 2023. Additionally, there were 17,869 disconnections due to non-payment in 2024, compared to 30,756 disconnections in 2023. While these findings clearly demonstrate more favorable outcomes compared to 2023 data, the Company plans to devote more resources to provide ongoing education and communication to low-income and disadvantaged communities, including providing materials in additional languages. Please see the direct and rebuttal testimonies of the Company's Customer Operations Panel for additional discussion of the resources needed to enhance outreach to low income and disadvantaged communities.

The NYC Policy Panel claims that the Affordable Multifamily Electrification Pilot is the only step the Company has taken to address energy insecurity are also inaccurate. In

addition to the Affordable Multifamily Electrification Pilot, the Company is taking the necessary steps to address energy insecurity and energy cost burden through its Disadvantaged Communities Program. By collaborating with Columbia University's Mailman School of Public Health and the Center on Global Energy Policy, the Company will be tackling this issue via a clinical approach. By co-designing, planning and implementing an "Energy Clinic" with Columbia University, the Company will be able to leverage prior research on Energy Insecurity, pilot customer facing assessment and intervention approaches to more effectively "treat" customers according to the factors that are contributing to non-payment. This innovative strategy offers an opportunity to identify and support high-need, at-risk customers with better coordination (and potentially increasing uptake) of existing programs offered by Con Edison, city, state and federal agencies leading to a reduction in delinquent accounts. We estimate up to 600,000 customers could participate in our Energy Clinic. For more details related to this initiative, please see the Company's response to DPS-28-689 (Exhibit ___ (SCLCPAP-1), p. 113). It is important to note that if the Energy Clinic

program, among other program initiatives, reduce even a fraction of a percent in unpaid bills (*i.e.*, one half of one percent), the program is fully paid for.

Greenhouse Gas Emissions

Q. Please describe EDF's proposals relating to the Company's GHG emissions analysis.

A. EDF Witness Lyon offers (p. 33-34) the following recommendations for GHG emissions accounting in this case and in the future:

- Establish a Clear Framework for Assessing Emissions;
- Disaggregate and Report GHG Emissions by Scope; and
- Attribute Emissions Reductions to Specific Proposals.

Q. Are EDF's proposals appropriate for consideration in this proceeding?

A. No, they are not. EDF's proposals should be made and considered in the Commission's generic CLCPA Implementation Proceeding (Case 22-M-0149) rather than in this proceeding. As explained in our direct testimony, Con Edison's GHG emissions calculations related to our natural gas distribution system are consistent with the calculation methodology outlined by the Joint Utilities ("JU") in their

December 1, 2022, GHG Emissions Inventory Proposal (as supplemented by the JU's May 31, 2023 filing), filed in Case 22-M-0149, *Proceeding on Motion of the Commission Assessing Implementation of and Compliance with the Requirements and Targets of the Climate Leadership and Community Protection Act*. This methodology has been used by several utilities (including by O&R in Cases 24-E-0060 and 24-G-0061) to calculate their GHG emissions in various Commission proceedings.

Any proposals that seek to modify or supplement the statewide framework being developed in Case 22-M-0149 should be made in that proceeding and not in individual utility rate cases.

Q. Please describe NRDC's proposal relating to the Company's GHG emissions analysis.

A. NRDC Witness Napoleon proposes (p. 63) that the Company revise its assumption about the efficiency of heat pump water heaters ("HPWHs"). According to NRDC, the Company's assumption significantly understates the actual performance of HPWHs and results in an overestimation of the electricity load associated with new water heaters.

Q. Does the Company agree with this proposal?

A. No, we do not. For the reasons described in the Company's Electric Forecasting Panel rebuttal, NRDC's proposal to revise the Company's assumptions regarding the efficiency of HPWHs, should be rejected. Consequently, any modifications to the emissions calculations should also be rejected.

Q. Does Staff offer a perspective on whether its recommended modifications to the Company's proposed gas rate plan would be consistent or would not interfere with achieving the CLCPA's GHG emissions targets?

A. The SCLCPAP declines (p. 22) to offer its perspective on this issue, citing (among other issues) the fact that its approach to estimating emissions results in a gas rate plan that reflects an increase in overall GHG emissions.

Q. Does the Company agree with Staff's assertion (pp. 24-25) that even if the Commission were to find that Staff's overall recommended rate plan is inconsistent with or would interfere with the attainment of the CLCPA's statewide GHG emissions targets, the Commission may find that adopting the rate plan is nonetheless necessary to enable the Company to continue to provide safe, adequate, and reliable

service to its customers and provide service to applicants who are entitled to request service?

A. Yes, the Company agrees that this is consistent with Commission statements in past rate orders.

Q. Does the Company continue to believe that its proposed rate plans provide the Commission with a basis to make the required CLCPA Section 7(2) findings related to greenhouse gas emissions?

A. Yes, the Company's proposed investments and programs will enable the Commission to determine that the Company's overall proposed electric and gas rate plans comply with the CLCPA. The various modifications Staff proposes to the Company's rate plans are addressed in the rebuttal testimony of other Company panels.

CLCPA Projects

Q. Please describe NYECC's concerns relating to CLCPA projects.

A. NYECC Witness Anderson claims (p. 35) that the Company fails to provide support demonstrating that the Company's proposed projects and programs will help to achieve CLCPA goals.

Q. Does the Company agree with this claim?

A. No, we do not. The information the Company presented in its initial filing, as supplemented by the Company's responses to numerous information requests during the discovery phase of this proceeding, provide a sufficient basis upon which the Commission can conclude that the Company's proposed rate plan is consistent with the CLCPA's GHG emissions reduction goals (CLCPA Section 7(2)) and does not disproportionately burden disadvantaged communities (CLCPA Section 7(3)).

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.